the world's manufacturing. Those economies that integrated with China's value chains prospered from this arrangement, as did major resource exporters. But despite ever increasing wages, China's market distortions, increased efficiencies enabled by technology, and the sunk costs of businesses helped ensure that manufacturing did not move to lower-wage economies such as India. While India could have certainly done more to liberalize and compete in an earlier era, at some point indiscriminately reducing trade and economic barriers would have rewarded non-market practices in China and further exacerbated structural imbalances in the global economy. [3]

India's persistent trade deficits in the 2000s were compounded by other factors. The global financial crisis of 2008–09, challenges in the Eurozone, Brexit, and Donald Trump's election in the United States further dented the neo-liberal consensus in the West. The coronavirus pandemic after 2019–20 exposed India's vulnerability to supply chain disruptions, including for basic medical supplies. Geopolitical tensions, particularly the India–China border clashes and the Russia–Ukraine war, exacerbated concerns about economic interdependence. India was affected—directly or indirectly—in terms of its defence imports, energy sources, and food security. The idea that further liberalization is the only way forward to accelerate India's development trajectory is now in doubt. India will continue to benefit from sourcing investment, technology, knowledge, and raw materials from the rest of the world, as well as continued access to overseas export and labour markets. But it will have to balance these considerations with other factors such as national security, economic security, international competitiveness, and domestic employment.

India must invest in security and prosperity. Any country, particularly in an era of intensifying global competition, must invest in the basic foundations and instruments of power. A major objective of foreign relations is to make yourself more secure and prosperous. From these bases, other kinds of power accrue including technological advancement, diplomatic weight, and strong cultural appeal or attraction ('soft power'). Of course, not all countries with considerable national power use that power